While the Centre is yet to comment on the writ petition or the issue of drought assistance, Union finance minister Nirmala Sitharaman said at a public forum in Bengaluru on March 24, a day after the writ petition was filed, "The funds from the central government to the state government as per the recommendation of the finance commission...I want to make it a point to tell you in detail that every paisa that is due to Karnataka is given, and given on time."

The issue of Karnataka's share in central taxes had picked up steam in January, after the Centre constituted the 16th Finance Commission—with economist Arvind Panagariya as its chairman—to recommend the distribution of tax proceeds among states for the five-year period commencing April 2026. In February, chief minister Siddaramaiah led a protest to Delhi to highlight the "injustice" Karnataka has allegedly suffered—in getting a lower share of central taxes under the 15th Finance Commission recommendations—and the Centre's "stepmotherly" treatment of the state. Central tax collections from Karnataka this fiscal would be an estimated Rs 430,000 crore, but it will only receive Rs 50,257 crore as share, while a state such as Uttar Pradesh gets up to Rs 2.8 lakh crore, claimed Siddaramaiah. "Out of every Rs 100 collected from the state [Karnataka] as taxes, it gets back only Rs 12-13... We are not against giving a higher share to poor states.... Our argument is that you should not kill the goose that is laying the golden eggs," he had added.

Karnataka argues that it is the second largest tax-paying state in the country, but its share in the divisible pool of central taxes has declined from 4.71 per cent in 2015-2020 to 3.64 per cent in 2020-2025, resulting in an annual loss of nearly Rs 14,000 crore and estimated cumulative loss of Rs 62,098 crore by 2025.



CHANDRADEEP KUMAR

"I WANT TO MAKE IT A POINT TO TELL YOU IN DETAIL THAT EVERY PAISA THAT IS DUE TO KARNATAKA IS GIVEN, AND GIVEN ON TIME"

Nirmala Sitharaman
Union Finance Minister

The state is demanding a special grant of Rs 5,495 crore mentioned by the 15th Finance Commission in its report for 2020-21, to make up for the projected decline in devolution and revenue deficit grants, and Rs 6,000 crore, recommended subsequently as a state-specific special grant.

The former assertion doesn't apply, according to the finance minister. "The Finance Commission's final report [for 2021-2026] did not have any such recommendation [of Rs 5,495 crore special grant] and therefore that is totally false," she said in Bengaluru. It led to an equally sharp response from Siddaramaiah who said in a post on social media platform X: "The interim report of the 15th Finance Commission for 2020-21 sanctioned Rs 6,764 crore for three states, viz Karnataka (Rs 5,495 crore), Telangana (Rs 723 crore) & Mizoram (Rs 546 crore)... to ensure that no state receives lower share in devolution in absolute numbers than the previous year."

During the Karnataka assembly's budget session in February, the Siddaramaiah government had passed a resolution in which it accused the Centre of "bias in allocation of funds, in providing grants recommended by finance commissions, sanctioning central share as per drought relief norms", and urged it "to take strong stand of equal distribution and non-discriminatory allocation of financial resources". The resolution had drawn protests from the BJP in the Opposition benches.

In her speech on March 24, however, Sitharaman said that tax devolution and grants-in-aid to Karnataka went up over three-and-a-half-fold between 2014 and 2024, compared to the previous decade when the Congress-led United Progressive Alliance (UPA) was in power at the Centre. The amount received by Karnataka from central taxes went up from Rs 81,795 crore in 2004-2014 to Rs 2,93,226 crore between 2014 and February 2024, she said. Similarly, the Centre's grants-in-aid to the state went up from Rs 60,779.84 crore in 2004-2014 to Rs 2,26,832 crore in 2014-2024. Besides, during Covid, states were given funds to create infrastructure, and Karnataka received Rs 7,130 crore under this category, said Sitharaman. "Do they acknowledge that Karnataka received this much which was not part of the recommendation of the Finance Commission?" she asked.

In the coming days, as political parties get into the campaign mode for the Lok Sabha elections, the issue of funds disbursal promises to remain a bone of contention between the BJP and the Congress in Karnataka. ■